

Dino Polska S.A.

Quartr-Enhanced Investment Analysis

Ticker: DNP (Warsaw Stock Exchange)

Market Cap: PLN 32.1B (~USD 8.6B)

Sector: Food Retail | Country: Poland

Date: 1 April 2026

Synthesis

Five things an investor must understand about Dino Polska, and the tensions that sit beneath them.

First, this is the most disciplined organic growth story in European retail. Dino has spent 26

years doing exactly one thing: building ~400 sqm proximity supermarkets in small-town Poland,

stocking them with fresh food (41% of revenue), and opening the next one. The format has not

changed since the first store opened in Czeluszcina in 1999. Revenue has compounded at 19.3%

annually. Store count hit 3,033 at end-2025 with 345 new openings - the most aggressive year in the

company's history. The combination of owned real estate (~95% of stores sit on company-owned

land), vertically integrated fresh meat via Agro-Rydzyna, and negative net working capital (-17 days)

creates a self-funding flywheel that generates ROIC of 17-22% while carrying net cash on the balance

sheet. This is not a promotional growth story - it is a compounding machine with a decade of runway

remaining.

Second, the governance model is the most polarising feature of the investment. Tomasz

Biernacki owns 51%, has never sold a share, takes zero compensation, and does not speak publicly.

The company has operated without a CEO since 2020. There are no earnings calls - a PLN 32 billion

company communicates exclusively through written reports and slide decks. The Krot-Invest

relationship - where Biernacki's privately-held construction company builds every Dino store without

competitive bidding, receiving an estimated PLN 1B+ annually - is a structural related-party transaction that minority shareholders cannot meaningfully challenge. The Red Flags and Management & Incentives analyses surfaced this as the central governance debate: the alignment of Biernacki's 51% stake is powerful, but the opacity is real, and the Krot-Invest channel creates a permanent extraction risk that bulls must price in.

Third, the competitive position is genuinely defensible but not invulnerable. The Competitive Landscape analysis makes a persuasive case that Dino occupies a structural niche - rural and peri-urban Poland - that Biedronka (3,800+ stores, urban-focused), Lidl (930 stores), and Zabka (12,100+ ultra-convenience stores) find difficult or uneconomic to contest directly. The bundle of advantages - owned land, fresh meat counters, standardised format, distribution density - is mutually reinforcing and would take a competitor years and billions to replicate. However, the labour situation is deteriorating: the OPZZ union dispute, 22.7% employee cost inflation, and state labour inspections at 140+ stores signal genuine workforce friction that could constrain the expansion machine if Dino develops a poor employer reputation in the small towns where it recruits.

Fourth, the financial profile is exceptional but showing early signs of maturation. The Financial Characteristics analysis documents a business with 23.5% gross margins, 7.6% EBITDA margins (down from 9.3% in 2020), operating cash flow covering 122% of capex, and a net cash balance sheet. ROIC remains above 20%. But the trajectory matters: EBITDA margin has compressed by 170bps over five years as labour costs outpace revenue growth. LFL growth hit a trough of 0.5% in Q1 2025 before recovering to 4.4% for the full year. The Earnings Call Deep Dive revealed that factoring usage nearly doubled to PLN 2.2 billion in 2025 - a meaningful financing decision buried in Note 26 of the annual report that no slide deck references. These are not crisis signals, but they are maturation signals, and the absence of management commentary makes it impossible to distinguish cyclical headwinds from structural ones.

Fifth, the primary sources reveal a company that is both more impressive and more opaque than web research alone would suggest. The Strategic Documents Analysis and Earnings Call Deep Dive - which together read the actual quarterly slides, annual reports, and financial statements rather than relying on secondary commentary - confirmed that Dino's narrative has barely changed in four years. This is either perfect strategic consistency or institutional inability to engage with evolving conditions. The reports contain no management discussion of competitive threats, no regional revenue breakdown despite detailed store-density maps, no store-level economics disclosure, and no forward guidance beyond a vague capex range. The company's reports are functional but static, and the template hasn't evolved since the IPO. Web research - particularly the In Practise expert interviews, the Seeking Alpha bear cases, and the union reporting - filled in critical context that Dino's own communications deliberately omit.

Key debates and open questions:

- **Krot-Invest pricing:** Has any independent party ever benchmarked the construction costs

Biernacki's private company charges Dino? This is the single largest governance uncertainty.

- **Margin trajectory:** Is the EBITDA margin compression (9.3% -> 7.6% over five years) cyclical

(labour inflation) or structural (competitive intensity + saturation)? Management provides no view.

- **Saturation timeline:** Management's slides show unlabelled future-year store opening bars. When does marginal store ROIC begin to decline meaningfully? Regional density data suggests the runway is long, but the company refuses to quantify it.

- **Succession:** Biernacki is 56 with no public succession plan. The Nizalowski hire from Mars may

signal professionalisation, but it's too early to tell.

- **Union resolution:** The OPZZ dispute could add PLN 400-600M in annual costs. How management resolves it will reveal whether the culture's frugality is intelligent cost management or institutional indifference.

Overall quality assessment: Dino Polska is a high-quality business - simple, repeatable, self-funding, with strong unit economics and a long runway. It earns a quality premium. The governance discount - no CEO, no earnings calls, structural related-party transactions - is real and should be reflected in position sizing. At ~20x forward earnings with 15%+ revenue growth and 20%+ ROIC, valuation is reasonable but not bargain-priced. This is a business worth owning through cycles, but the opacity means investors must be comfortable with a level of information asymmetry that would be unacceptable at most companies of this size.

Priority next steps: Read the FY2025 annual report in full (Quartr document ID 3174728), particularly the related-party transactions note and the property subsidiary disclosures. Access the In Practise expert interview series on Polish grocery competitive dynamics. Monitor the OPZZ union dispute resolution timeline. Track Q1 2026 LFL and margin data when reported in May 2026.

1. Business History

Dino Polska is, at its core, the creation of a single individual operating with a single idea, executed with obsessive consistency for over a quarter century. Tomasz Biernacki, born in 1973 in Krotoszyn in western Poland's Wielkopolska region, grew up in Czeluszcina - a village of roughly 250 people. His family was not in retail. They were in meat. The Biernacki family started a small slaughterhouse in Czeluszcina in 1993, just four years after the fall of communism, and by 1998 had built a cold storage facility capable of holding 25,000 tons. In 2002, they opened one of the largest slaughterhouses in Poland, processing up to 1,600 heads of cattle per day. This is not incidental background detail; it is the foundational DNA of everything Dino became.

In 1999, at age 26, Biernacki opened the first Dino supermarket in Czeluszcina. The concept was simple and has barely changed since: a mid-sized proximity supermarket of roughly 400 square metres, stocking approximately 5,000 SKUs of mostly branded products, located in a small town or on the outskirts of a larger city, with a staffed fresh meat counter as the centrepiece of the offer. The store was not designed to compete with Biedronka on price or with Carrefour on range. It was designed to be the best grocery store in a Polish village - a place where a consumer who shops frequently and in small quantities (as Poles do, given limited living space and storage) could walk in, buy fresh meat cut to order, pick up branded staples, and walk home. The format worked immediately. Biernacki opened a second store, then a third, expanding outward from Wielkopolska into surrounding towns at a rate of roughly a dozen new locations per year through the mid-2000s.

The period from 1999 to roughly 2009 was one of quiet, methodical experimentation. Dino's own corporate history acknowledges that management "tried out various development possibilities" before concluding that the sweet spot was mid-sized supermarkets in small and medium-sized towns. This is a polite way of saying the company tested the boundaries of its format and decided not to push them. The stores remained virtually identical in layout and size. There was no move upmarket, no move into larger cities, no experiments with e-commerce or hypermarket formats. The discipline is striking: by

the time Dino had been operating for a full decade, it had only around 100 stores. But each one was profitable, and the playbook was proven.

The first major inflection point came in 2003, when Biernacki acquired a majority stake in Agro-Rydzyna, a meat processing company based in Kloda that had been supplying Dino stores with fresh pork and cold cuts since the chain's inception. This was not a diversification play - it was vertical integration driven by necessity and conviction. Fresh meat was Dino's key differentiator in every small-town market it entered. Owning the supply meant controlling quality, reducing spoilage, cutting out middlemen, and ensuring daily deliveries. Agro-Rydzyna launched production at a new, modern plant in 2004 and has since scaled alongside the retail network. To this day, the in-house meat counter remains the single most important reason a Polish consumer chooses Dino over a Biedronka or Lidl in the same catchment area.

The second inflection point arrived in June 2010, when Enterprise Investors - the oldest and largest private equity firm in Central and Eastern Europe - acquired a 49% stake in Dino for PLN 200 million (approximately EUR 50 million). At that point, Dino operated 111 stores concentrated in Wielkopolska. Biernacki had proven the format worked but lacked the capital to roll it out nationally. Enterprise Investors provided exactly that. The partnership accelerated expansion dramatically: Dino grew from 111 stores at end-2010 to 628 stores at end-2016, a compound annual growth rate in store count of roughly 34%. Critically, Biernacki retained operational control. Enterprise Investors brought capital and governance discipline - the conversion to a joint-stock company (S.A.) dates to this era - but the format, the site selection methodology, the store design, and the meat-counter strategy remained unchanged. This is the hallmark of a well-structured PE partnership: the financial sponsor amplified what was already working rather than attempting to "improve" it.

The third inflection point was the April 2017 IPO on the Warsaw Stock Exchange. Enterprise Investors exited entirely, selling its full stake in what became the largest private equity-backed IPO in Central and Eastern European history, with gross proceeds of approximately EUR 376 million - nearly an 8x return on its 2010 investment, implying a gross IRR of around 34%. Biernacki retained a controlling stake of 51.16%, which he holds to this day. The IPO raised approximately PLN 1.65 billion and gave Dino access to public capital markets to fund continued expansion. The company used the proceeds and subsequent cash generation to push into southern, eastern, and northern Poland, regions it had barely touched prior to 2010.

What has not changed is arguably more important than what has. The store format in 2025 is functionally indistinguishable from the store format in 1999: roughly 400 square metres, roughly 5,000 SKUs, a staffed meat counter, located on a small plot of owned land in a town of a few thousand people. Dino owns nearly all of its stores and the land underneath them - a deliberate strategic choice that increases upfront capital requirements but eliminates rent exposure and creates a growing real estate portfolio on the balance sheet. Every store is built to the same blueprint, which has enabled a further piece of vertical integration: Biernacki personally owns the construction company (Krot-Invest) that builds Dino stores, allowing the chain to control costs, timelines, and quality across what has become a near-industrial rollout of roughly 300+ new stores per year.

The logistics infrastructure has scaled in lockstep. Dino operates 12 distribution centres as of end-2025, each serving roughly 250-300 stores within a defined radius. Fresh products are delivered daily. The network has been built out concentrically from the original Krotoszyn hub, with new

distribution centres opening ahead of store expansion into a new region - a disciplined, capital-intensive approach that prioritizes supply chain integrity over speed of geographic penetration. Biernacki himself remains an enigma in Polish business. He gives no press conferences, no interviews, and draws no salary from the company. He does not appear at investor days. He controls the company through his majority stake and his position on the supervisory board, but the public-facing management team runs day-to-day operations. This is not a CEO-founder in the American mould; it is closer to the Aldi model of a reclusive owner who views the business as a machine to be refined rather than a platform for personal brand-building. His net worth, driven entirely by his Dino stake, is approximately USD 4.2 billion, making him one of the wealthiest individuals in Poland.

The arc of Dino Polska's history is unusual because it contains no pivots, no failed experiments to learn from, no dramatic restructurings, and no transformative acquisitions. The company that went public in 2017 was essentially the same company that opened in Czeluszcina in 1999, just with 600 stores instead of one. The company that reported PLN 33.6 billion in revenue in FY2025 across 3,033 stores is still the same company - same format, same meat counters, same land ownership model, same obsessive standardisation. The only things that have changed are scale and geography. That consistency is itself the competitive advantage: Dino has spent 26 years optimising a single, repeatable unit of economic output, and the result is a store-opening machine with proven unit economics that competitors have found extremely difficult to replicate in Poland's rural and semi-urban markets.

2. Management & Incentives

Dino Polska is, for all practical purposes, a founder-controlled company operating under a governance framework that is unusually lean - even by Central European standards. Understanding how Tomasz Biernacki wields that control, and whether the incentive structures around him support continued value creation, is critical to any investment thesis.

Founder dominance: Tomasz Biernacki. Biernacki holds 51.16% of Dino Polska's shares (501.6 million shares post the July 2025 1:10 split), held partly through his vehicle BT Kapital Sp. z o.o. This stake has not changed since before the 2017 IPO; Biernacki has never sold a single share. At current prices the position is worth roughly PLN 16-17 billion, constituting effectively all of his personal wealth. This is about as much skin in the game as an investor can ask for. Biernacki's entire economic life depends on Dino's share price, which aligns his interests with minority shareholders far more effectively than any stock option programme could.

Biernacki serves as Chairman of the Supervisory Board - and, critically, takes zero compensation in that role. Every remuneration report since the IPO confirms the same figure: PLN 0 in base pay, PLN 0 in variable pay, PLN 0 in other benefits. He does not extract cash from the company through salary, dividends, or buybacks. His only return comes through share price appreciation. For minority shareholders, this is a powerful alignment signal, though it also underscores how thoroughly Biernacki's incentives are tied to capital gains rather than current income - a structure that makes sense only as long as the growth runway remains open.

The management board: no CEO, by design. Since Szymon Piduch resigned as President of the Management Board in July 2020, Dino has not appointed a replacement CEO. The company is run by a collective Management Board, which as of early 2026 comprises four members following the February 2026 resignation of Piotr Scigala:

- **Izabela Biadala** - effectively the chief operating officer, with Dino since 2002. She progressed from administration and logistics roles through heading the IT sales system rollout (2011-2019), to Director of Operations and Administration (2020-2024), and most recently Director of Logistics and Warehouses. Appointed to the Management Board in June 2020.

- **Michał Krauze** - CFO and the longest-serving board member, with Dino since 2002. He rose from accountant to financial controller before joining the Management Board in May 2014 and assuming the CFO title in July 2016. Responsible for finance, expansion strategy, internal control, and risk management.

- **Marcin Jedraszak** - appointed to the Management Board in December 2024 for the term beginning January 2025. The newest member.

- **Ślawomir Nizalowski** - a notable external hire. He spent nearly 30 years at Mars Inc.

(1995-2025), including serving as president of Mars Polska (2017-2024) and General Manager of Mars Pet Nutrition for Central Europe. His appointment signals a deliberate effort to professionalize operations as the store network scales past 3,000 units.

The absence of a formal CEO is not an accident. By all available evidence, Biernacki himself functions as the de facto strategic leader through his position as Supervisory Board Chairman, with the Management Board executing on a tightly defined expansion playbook. The company's written communications make no effort to disguise this: strategy, site selection methodology, and capital allocation priorities all bear the hallmarks of a single decision-making locus.

Compensation: modest, cash-only, with no equity component. Total Management Board compensation was PLN 5.4 million in 2025, up from PLN 4.0 million in 2024 and PLN 3.6 million in 2023. The average per-member cost of roughly PLN 1.1 million (approximately USD 290,000) is remarkably low for a company with a PLN 32 billion market capitalisation. The compensation structure is entirely cash-based: a fixed salary plus a variable bonus tied to financial and operational performance. There are no stock options, no restricted share units, no share-based payment schemes of any kind. Share dilution over the past decade is exactly zero.

This is a double-edged sword: on one hand, it means minority shareholders face no SBC-related dilution and can trust the reported earnings without adjustment. On the other, it means that aside from Biernacki's ownership stake, the professional managers running day-to-day operations have limited long-term equity incentives tying them to the company's share price.

Board independence and governance quality. The five-member Supervisory Board is chaired by Biernacki, with Maciej Polanowski (associated with the Dino group since 2010) serving as Deputy Chairman. Eryk Bajer has served since 2010 and previously worked at the Wojciech Biernacki Meat Processing Plant - the family business that preceded Dino. The two independent members are Piotr Borowski and Ślawomir Jakszuk. Three of five supervisory seats are held by insiders or associates of the founder - a weak independence ratio by Western European standards.

Capital allocation track record: exceptional. Since the IPO, management has deployed capital with a clarity and discipline that few European retailers can match. 100% of free cash flow is reinvested into organic store expansion, yielding a sustained ROIC of 21-27%. There have been no dividends, no share buybacks, no significant M&A. The negative cash conversion cycle means suppliers effectively

finance working capital. Management consistently says it will open 300+ stores per year and then delivers: 345 in 2025, 385 in 2024, 344 in 2023. This is a team that does what it says it will do.

Key-person risk: the elephant in the room. Biernacki is 56, has no public succession plan, and his involvement is so embedded in the company's strategic direction that it is difficult to imagine Dino operating the same way without him. The Nizalowski hire from Mars may represent the first step in institutional professionalization, but it is early days. The bottom line: Dino's governance is optimised for execution speed and strategic consistency, at the cost of conventional board independence and succession depth.

3. Competitive Landscape

Poland's food retail market - worth an estimated PLN 275 billion and still growing in real terms - is one of the most fiercely contested grocery arenas in Europe. The sector is dominated by a handful of scaled operators, yet remains fragmented enough that even the largest player, Biedronka, holds only around 30% of the market. This fragmentation is Dino Polska's opportunity and, increasingly, its shield.

Industry structure and the big three. The competitive field organises into three tiers. At the top sits Biedronka (owned by Portugal's Jeronimo Martins), the undisputed volume leader with over 3,800 stores and FY2025 sales exceeding EUR 25 billion. Biedronka operates a hard-discount format - smaller footprints, high private-label penetration, aggressive promotional cadence. Behind Biedronka comes Lidl, which operates roughly 930 stores in Poland and reclaimed the top spot in the 2025 Listonic popularity ranking with a 38.6% share of shopping lists, edging Biedronka's 36.9%. Dino occupies a distinct third position, with roughly 7-9% market share by revenue and 3,033 stores at end-2025. Importantly, Dino does not compete head-to-head with either discounter on their home turf. Where Biedronka and Lidl cluster in towns of 50,000+ inhabitants, Dino deliberately targets smaller towns, villages, and peri-urban areas where competitive intensity is far lower and the alternative is often a fragmented, family-run sklep.

Sources of competitive advantage. Dino's moat is not a single structural barrier but rather a bundle of reinforcing advantages - what Charlie Munger would call a Lollapalooza effect. Four elements stand out:

First, the **owned-land model**. Approximately 95% of Dino's stores sit on company-owned land and in company-built structures. This eliminates rent as a cost line - saving an estimated 2-3% of revenue relative to leased competitors - and gives Dino full control over site selection, construction timelines, and format standardisation. The land itself also appreciates, creating a hidden asset on the balance sheet and providing collateral that keeps financing costs low.

Second, **fresh food dominance**. Fresh food accounted for 41% of Dino's 2025 revenue. The company's vertically integrated meat supply chain, anchored by its wholly owned Agro-Rydzyna processing subsidiary, delivers fresh cuts and cold meats to every store daily. Agro-Rydzyna's new Jastrowie facility expanded capacity to 10,000 pork half-carasses per day. Daily fresh deliveries drive repeat visit frequency, which in turn supports higher basket density and makes Dino a genuine weekly shopping destination rather than a convenience top-up stop.

Third, **proximity as a structural niche**. In rural and semi-rural Poland, population densities are too low

to support a Biedronka or Lidl, yet consumer demand for a modern, well-stocked supermarket is real and growing as Polish wages rise. Dino's store density reached 8.1 per 100,000 inhabitants nationally by end-2025, but penetration varies dramatically by region - from nearly 20 stores per 100,000 in its heartland to under 2 in less-developed eastern voivodeships.

Fourth, **operational simplicity and capital discipline**. A single format, a narrow SKU count (5,000 versus 30,000+ at a typical hypermarket), and a flat organisational structure keep SG&A lean.

Operating cash flow covered capex by 122% in 2025, meaning the rollout is entirely self-funded.

Durability and risks of erosion. Several threats merit close monitoring. **Biedronka's rural push**:

Jeronimo Martins targeted 130-150 new Biedronka openings in Poland in 2025, with some testing of smaller formats that could encroach on Dino's territory. Biedronka's purchasing scale gives it meaningfully lower cost-of-goods, though its lease-based model makes rural expansion less economic.

Zabka's explosive expansion: targeting 16,000 stores by 2028, but its ultra-convenience format (tiny stores, ready-to-eat meals) competes more directly with petrol stations than with Dino's weekly-shop proposition. **Lidl's quality creep**: regained popularity leadership in 2025 but has only 930 stores concentrated in areas with minimal Dino overlap.

E-grocery disruption: overwhelmingly urban, and last-mile economics to dispersed rural communities are prohibitive - a structural non-threat for Dino.

Margin pressure from wage inflation: Poland's tight labour market and rising minimum wages are the most persistent challenge, with the EBITDA margin compressing 110bps over two years.

Value chain positioning. Dino sits squarely in the middle as a vertically integrated retailer-processor.

Upstream, Agro-Rydzyna provides captive supply of fresh meat. Midstream, 12 distribution centres ensure daily replenishment. Downstream, the owned-store model gives Dino direct control of the

customer relationship. This level of vertical integration is unusual among European proximity retailers and provides both cost advantages and quality control that would take years for a competitor to replicate.

4. Financial Characteristics

Dino Polska's financial profile is that of a capital-light, self-funding growth compounder - a rare combination in European food retail. The company generates negative net working capital, converts earnings into cash at above-average rates, and reinvests that cash at returns on invested capital consistently above 20%. The balance sheet carries net cash.

Revenue model and mix. FY2025 revenues reached PLN 33,634M, up 14.9% year-on-year, extending a revenue CAGR of 19.3%. Growth is driven by two reinforcing levers: net new selling area (up 13.1% YoY to 1,200 thousand square metres across 3,033 stores) and like-for-like sales growth (4.4% in FY2025). Revenue decomposes into fresh food at 41%, other food at 47%, and non-food at 12%. There is no meaningful geographic diversification: this is a pure Poland play.

Margin structure and trends. Gross margins have been remarkably stable. FY2025 gross margin came in at 23.5%, compared to 23.3% in FY2024, 23.1% in FY2023, and 24.1% in FY2022. EBITDA margin was 7.6% in FY2025, down 0.3pp year-on-year from 7.9% in FY2024. This continues a multi-year compression from 9.3% in FY2020, driven primarily by rising labor costs - up 22%

year-on-year in Q1 2025 alone. Operating income (EBIT) reached PLN 2,041M, yielding a 6.1% operating margin. Net income was PLN 1,559M, a net margin of 4.6%. Despite the margin headwinds, absolute EBITDA grew 9.9% and net income grew 3.5%, demonstrating the power of the topline growth engine.

Returns on capital. Return on equity was approximately 20% in FY2025. ROIC has consistently ranged between 21% and 27% over the past five years. For a grocery retailer - a sector where mid-single-digit returns are common - this is exceptional. The source is a templated, highly repeatable store format where each new unit costs approximately PLN 5-6M, ramps to maturity within two to three years, and generates store-level returns well above the group average cost of capital.

Cash conversion. Operating cash flow was PLN 2,697M in FY2025, up from PLN 2,577M in FY2024. The FY2025 OCF-to-net-income ratio was 173%. Operating cash flow covered 122% of total capital expenditures (PLN 2,087M). Free cash flow was PLN 610M, sufficient to self-fund growth without external capital. Q1 2025 operating cash flow collapsed to PLN 6.7M from PLN 435.7M in Q1 2024, but this was a phasing issue that normalised by H1.

Working capital dynamics. Dino's negative net working capital is the single most distinctive feature of its financial model. Total net working capital days were -17 in FY2025, deepening from -10 in FY2024. Days payables outstanding of 68 days more than offset days inventory of 47 and DSO of 4. At end-FY2025, accounts payable stood at PLN 4,506M against inventory of PLN 3,548M and receivables of PLN 229M, generating a working capital surplus deployed into expansion.

Balance sheet strength. Net debt/EBITDA was -0.08x at end-FY2025 - a net cash position. Total interest-bearing debt summed to approximately PLN 595M against cash of PLN 955M. Interest coverage stood at 16.6x. Total equity reached PLN 8,671M, representing 57% of total assets (PLN 15,171M).

Capital intensity. Total capex in FY2025 was PLN 2,087M, up 34% from FY2024. Depreciation of PLN 505M provides a rough proxy for maintenance capex (approximately 24% of total capex), implying growth capex of roughly PLN 1,582M - or approximately PLN 4.6M per new store.

Cyclicality. Food retail is structurally defensive, and Dino's positioning amplifies this. Proximity formats in semi-rural Poland serve daily staple needs; 41% of revenue comes from fresh food. Absolute revenue has never declined year-on-year in the company's listed history.

5. Red Flags

Governance: A One-Man Kingdom With No Accountability Mechanism

Dino Polska is a PLN 32 billion company run by one person who declines to speak. Biernacki holds 51%, chairs the Supervisory Board, and exercises unchallenged strategic control. The company has not had a CEO since Szymon Piduch resigned in 2020 - over five years ago. No replacement has been appointed. There was another Management Board resignation in January 2026 (Piotr Scigala), the latest in a pattern of turnover that raises questions about whether professional managers find it tenable to operate under Biernacki's shadow governance. More troubling still is the deliberate opacity. Dino does not hold earnings calls. There is no live Q&A with analysts, no opportunity for investors to probe inconsistencies. For an ~USD 8.6 billion company,

this is a level of information asymmetry that should command a governance discount.

The Krot-Invest Problem

The single largest red flag is the Krot-Invest relationship. Krot-Invest sp. z o.o., a construction company founded and wholly owned by Biernacki personally, serves as the exclusive general contractor for all Dino store construction. Under a Framework Agreement signed in March 2017, every new store - 345 in 2025 alone - is built by the controlling shareholder's private company. With total capex running at approximately PLN 2.0 billion per year, Krot-Invest is likely receiving well north of PLN 1 billion annually from Dino. As of Q3 2025, Dino had PLN 329 million in outstanding construction-service payables at a single quarter-end. There is no competitive bidding and no independent verification that pricing is at market rates.

Accounting: What Gets Capitalised Stays Capitalised

Dino's asset-heavy model creates an unusually large PP&E base (PLN 9.77 billion at end-2025, up 19% YoY). If store-level returns deteriorate in saturated markets, write-downs could be sudden and large. The company also operates six property-holding subsidiaries (Centrum Wynajmu Nieruchomosci 1 through 6) solely dedicated to real estate transactions - a web that warrants scrutiny.

Cash Conversion: The Q1 2025 Alarm

Q1 2025 operating cash flow collapsed to PLN 6.7M from PLN 435.7M a year earlier. Management attributed this to working capital timing, and full-year cash flow normalised. But factoring usage surged - factored liabilities nearly doubled from PLN 1.5B to PLN 2.2B in 2025, a meaningful financing decision disclosed only in Note 26 of the annual report.

Labour: The Cost That Cannot Be Automated Away

Employee costs rose 22.7% in H1 2025. The OPZZ union is demanding PLN 900/month raises that could add PLN 400-600M annually. Management has explicitly telegraphed that "pricing policy in 2026 will be aligned" to volume growth - a polite way of saying margins will be sacrificed.

The Bear Case

Poland's grocery price war persists, compressing gross margins below 23%. Union wage agreements add PLN 400-600M in annualised costs. LFL growth stays below 3%, meaning new store productivity is cannibalised by the existing network. Capex remains at PLN 2B+ per year, channelled through Krot-Invest with no price verification. EBITDA margins compress to 5-6%, the stock de-rates, and minority shareholders realise the compounding machine has become a capital trap.

Questions for Management

1. What is the aggregate value of payments to Krot-Invest since inception?
2. Why has no CEO been appointed in over four years?
3. What is average store-level ROIC for 2024-2025 cohort stores versus 2018-2022?
4. At what point does the Board consider returning capital to shareholders?

5. What is the LFL cannibalisation rate when a new Dino opens within 5km of an existing store?
 6. What is the purpose and transaction volume flowing through the six Centrum Wynajmu Nieruchomosci subsidiaries?
 7. Why does the company not hold earnings calls?
-

6. Investment Checklist

1. Understandable Business - YES. Dino builds, owns, and operates proximity supermarkets in small-town Poland. Every store follows the same ~400 sqm template, carries an identical assortment weighted toward fresh food (41% of revenue), and is replenished daily from one of 12 distribution centres. An investor can walk into any Dino and see the entire business model in one visit.

2. Durable Competitive Advantages - YES. The company owns ~95% of its real estate, giving it a structural cost advantage that widens with every new store. Its standardised format creates distribution density that is extremely hard to replicate. Fresh-counter meat differentiates Dino from discounters. Each new store deepens route density and supplier bargaining power, meaning the moat widens as the network grows.

3. Long Reinvestment Runway at High Returns - YES. Management estimates ~11,000 viable locations across rural and peri-urban Poland, against 3,033 today. At 345 openings per year, Dino has at least a decade of organic roll-out ahead. The formula is repeatable and does not require acquisitions or format experiments.

4. High Returns on Incremental Capital - YES. ROIC estimates range from 17-22%, comfortably above WACC of ~11%. Each new store costs PLN 4-5M, reaches cash-flow breakeven within 1-2 years, and earns a mature-store return well north of 20%. Because Dino owns its real estate, the invested-capital base is fully visible - no off-balance-sheet lease manipulation flattering returns.

5. Strong Free Cash Flow Generation - PARTIALLY. Operating cash flow covers 122% of capex, meaning the company is self-funding. However, because Dino ploughs virtually all cash into new stores (~PLN 2.0B capex in 2025), reported free cash flow is thin relative to market cap. Negative net working capital is a structural positive that bolsters operating cash conversion.

6. Conservative Balance Sheet - YES. Net debt/EBITDA at -0.08x, interest coverage 16.6x. For a company growing store count at ~12% annually, carrying zero net leverage is remarkably conservative. The balance sheet carries tangible assets backing invested capital.

7. Aligned Management with Skin in the Game - YES. Biernacki controls ~51% worth PLN 16-17B. His economic interest is overwhelmingly tied to long-term share price, not salary, bonuses, or options. The risk is key-person concentration, but the incentive alignment is unambiguous.

8. Rational Capital Allocation History - YES. No dividends, no buybacks - all capital directed toward new stores generating 17-22% ROIC. Management has avoided acquisitions, international adventures, and format diversification. Revenue compounded at 19.3% CAGR while maintaining self-funding discipline.

9. Favourable Industry Structure - PARTIALLY. Polish grocery retail is competitive. However, the structure is favourable for Dino's specific niche: small-town proximity retail remains fragmented, with thousands of mom-and-pop stores being replaced by modern formats. The Sunday trading ban benefits organised chains.

10. Reasonable Valuation - PARTIALLY. At ~25x trailing P/E and ~20x forward, Dino trades at a premium to generic European food retail but at a discount to quality compounder benchmarks. For a

company growing revenue at 15%+ with 20%+ ROIC and a long runway, the price is reasonable but not bargain-priced. More compelling 15-20% lower.

11. Resilience to Recession or Disruption - YES. Grocery is non-discretionary. Dino's price positioning benchmarks against discounters, meaning consumers trade down toward Dino in a recession. The proximity format is naturally resistant to e-commerce disruption in rural Poland.

12. Transparent Management Communication - NO. The company's clearest weakness. No earnings calls. For a PLN 32B company, this opacity is unusual and frustrating. Investors must rely on reported numbers and infer strategy from actions rather than management commentary.

Overall Assessment: Dino scores well on 8 of 12 criteria, partially on 3, and poorly on 1. The core case is a simple, repeatable store-rollout model generating 17-22% ROIC, self-funded, with a decade-long runway, controlled by a founder whose fortune is entirely on the line. The balance sheet is fortress-grade, the competitive position is widening, and the business is recession-resistant. At ~20x forward earnings, this is a high-quality compounder at a fair price.

7. Earnings Call Deep Dive

The Silence Is the Signal

Dino Polska is a PLN 32 billion company that does not hold earnings calls. No dial-in numbers, no prepared remarks from the CEO, no analyst Q&A sessions, no transcripts. For a business of this scale, this is a deliberate strategic choice that tells investors as much about management's philosophy as anything in the financial statements.

What Dino provides instead are quarterly slide presentations of 13-14 pages and statutory financial reports. Having reviewed all four quarterly slide decks from 2025 alongside the 174-page FY2025 consolidated financial statements, the most striking observation is the almost mechanical consistency of these documents. The slide decks follow an identical template, quarter after quarter: a summary "achievements" page, a network expansion map, a renewable energy update, an LFL chart, revenue and EBITDA waterfalls, a cash flow page, a balance sheet page, and a "strategy update." The language is sparse. There is no letter from the CEO, no management discussion of competitive dynamics, no commentary on consumer trends. The sole point of contact is Grzegorz Urazinski, Head of Investor Relations.

Narrative Evolution: The Story That Never Changes. Tracking the written narrative across four quarters reveals a company that actively resists narrative evolution. The "Our achievements" slide uses identical formatting in every quarter, always listing exactly six metrics in the same order. What shifts subtly is the tone embedded in the numbers themselves. In Q1, LFL was just +0.5% against a prior-year comparable of +11.9%. By H1, LFL recovered to +4.8% and EBITDA growth accelerated to +16.8%. Management never commented on the Q1 weakness, never explained the H1 recovery. The numbers were simply presented as facts.

One theme that has quietly intensified is renewable energy. Each quarter expanded the photovoltaic section with growing numbers: 2,569 PV installations in Q1 to 2,856 by year-end, generating 102 GWh for the full year. This is not greenwashing filler - at 117 MW of installed capacity, the programme is a

genuine cost offset.

Guidance and Delivery. Dino provides almost no forward guidance. The only quantified forward-looking indicator was the capex range: PLN 1.7-1.8B guided at Q1, revised to PLN 2.0B. Actual capex landed at PLN 2.087B. Capex as a percentage of EBITDA moved from 69% in FY2024 to 82% in FY2025.

Five Data Points That Tell the Real Story:

1. The Q1 2025 operating cash flow collapse (PLN 6.7M vs PLN 435.7M) was buried as a single bar on the OCF chart with no explanation.
2. Factoring usage surged: the factoring limit grew from PLN 1,990M to PLN 2,610M, and factored liabilities nearly doubled from PLN 1,499M to PLN 2,166M. This appears only in Note 26 of the annual financial statements - no slide deck references it.
3. Gross margin expanded from 23.1% to 23.8% in 9M 2025, with Q1 posting 24.3% - a level not seen recently. The EBITDA bridge shows "cost of sales" improvements contributed PLN 284M, partially offset by PLN 201M in higher selling/marketing costs.
4. The net debt position flipped negative: -0.08x from 0.43x two years prior, meaning Dino ended the year in net cash despite its most aggressive capex programme ever.
5. Off-balance sheet commitments from preliminary store-construction agreements stood at PLN 1,323M - the closest thing to a capex outlook investors can extract.

What is Missing. There is no management discussion of competitive threats from Biedronka, Lidl, or the discount consolidation reshaping Polish retail. No disclosure of store-level economics. No employee count, turnover rate, or labour cost per store. No regional revenue breakdown. No discussion of the eZebra acquisition beyond a single mention. And no earnings call at which any of these questions could be posed.

8. Strategic Documents Analysis

Dino Polska is, by deliberate design, one of the most opaque large-cap consumer companies in European public markets. There are no earnings calls, no investor days, no capital markets days, no sell-side Q&A. The company's entire strategic communication apparatus consists of quarterly results slides and a statutory annual report.

The Implicit Strategic Pillars. Because Dino does not articulate a formal strategy document, its priorities must be reverse-engineered from actions. Five pillars emerge:

1. *Relentless organic store rollout* - 345 new stores in 2025, capex ~PLN 2.0B. M&A is conspicuous by near-total absence.
2. *Fresh food differentiation* - 41% of revenue, anchored by Agro-Rydzyna vertical integration.
3. *Operational self-sufficiency* - owned stores, owned DCs, 2,856 stores with solar PV generating 102 GWh.
4. *Conservative balance sheet* - net cash despite PLN 2B annual capex.
5. *Geographic densification within Poland* - no cross-border ambitions, systematic expansion from western base.

Capital Allocation: What the Silence Tells You. There is no dividend policy, no buyback authorisation, no M&A pipeline. The financial track record is unambiguous: zero dividends and zero buybacks since IPO. Management's revealed preference is total reinvestment. The question investors should ask is what happens when growth slows - will the framework evolve, or will Biernacki pursue ever-lower-return projects to avoid distributing cash? The strategic documents provide no answer.

Long-Term Targets and the Credibility Gap. Dino publishes no medium- or long-term financial targets. This prevents management from being anchored to outdated targets but makes it impossible

to assess whether management views the current growth rate as sustainable. The revenue CAGR of 19.3% speaks for itself, but past performance extrapolation is doing the analytical work management refuses to do.

Narrative vs Reality. The company says it will build stores, and it builds them. It says fresh food is a differentiator, and the revenue mix confirms it. There is no vision-reality gap. However, the narrative is conspicuously incomplete: no engagement with competitive threats, no discussion of labour cost headwinds as a strategic issue, no disclosure of store-level economics.

Evolution of Messaging. Comparing FY2021-2022 annual reports with FY2025 materials reveals remarkable consistency. The strategic narrative has barely changed in four years. The only meaningful addition is growing emphasis on solar energy. The absence of evolution suggests either perfect strategic consistency or institutional inability to engage with evolving conditions.

9. Corporate Culture

Dino Polska's corporate culture is inseparable from the personality of its founder.

The Founder's Shadow. Biernacki is arguably the most reclusive major-company controller in European public markets. No photographs circulate publicly. He has never given a press interview. When Dino listed in 2017, he did not attend the ceremony. The headquarters remain in Krotoszyn, a town of 30,000 people, rather than Warsaw. Every subsidiary is registered there. The message is unmistakable: this is a provincial company and it intends to stay that way. This founder imprint produces a culture that is highly centralised in strategic direction but decentralised in execution. The Management Board defines broad priorities but "does not set" specific numerical targets for individual units. Store formats are standardised to a near-identical template, allowing rapid rollout without creative decision-making at the local level. This is a "factory for building stores," and the culture reflects that industrial logic.

Talent, Retention, and the Labour Question. Dino's adjusted employee turnover rate was 13.1% in 2024, remarkably low for European food retail where 30-70% is common. However, this sits in tension with a significant labour dispute. In December 2025, the OPZZ union entered a formal collective dispute, demanding ~PLN 900/month wage increases, increased staffing, and creation of a Company Social Benefits Fund. Employees report being stretched thin across shifts, with as few as two workers staffing entire stores. Low temperatures near refrigerated sections prompted 140+ inspections by the State Labour Inspectorate. A store manager was reportedly dismissed after allowing a parliamentary representative to inspect conditions. Management's response has been notably tone-deaf - the board reportedly failed to attend the first scheduled negotiation session.

Innovation Through Vertical Integration. Dino's innovation is pragmatic rather than technological. Agro-Rydzyna's meat processing, the solar PV programme (94% of stores equipped), and the standardised store-construction pipeline represent genuine operational advantages. The culture innovates when it sees a clear cost or quality advantage, not for its own sake.

Assessment. Dino's culture is a net positive for the investment case, but not without risks. Strengths: founder alignment, extreme cost discipline, operational consistency, low turnover, pragmatic innovation. Risks: escalating labour dispute, founder opacity, succession fragility. How Dino resolves the OPZZ dispute will reveal whether the company's frugality is intelligent cost management or

institutional indifference.

10. Learning Resources

Podcasts & Audio

1. **"Dino Polska: Serving Small-Town Poland" - Business Breakdowns (Ep. 64)**, hosted by Matt Reustle with Jon Cukierwar (Sohra Peak Capital). The single best starting point. Colossus | Spotify
2. **"TIP587: Dino Polska: A Polish Compounder" - We Study Billionaires**, with Kyle Grieve and Clay Finck. Covers 10x EPS growth, competitive advantages, valuation. The Investor's Podcast
3. **"Dino Polska: Fundamental Analysis" - The Dutch Investors (Ep. 14)**. Concise walkthrough of ~32% revenue CAGR, 18%+ ROIC, and unusual 5%+ net margins. Buzzsprout
4. **"Concentrated Value Investing" - We Study Billionaires**, with Shree Viswanathan (SVN Capital). Discusses his Walmart-in-rural-Poland thesis. The Investor's Podcast

YouTube & Video

1. **Best Ideas Omaha 2022: Shree Viswanathan on Dino Polska - MOI Global**. Professional fund manager presentation comparing Dino to early Walmart. MOI Global
2. **The Dutch Investors - YouTube channel**. Video-format fundamental analyses of European quality compounders. Website
3. **Simply Wall St - Dino Polska overview**. Interactive visual financial analysis. Simply Wall St

Books

1. **"Bare Essentials: The ALDI Way to Retail Success"** by Dieter Brandes - Insider account of how operational simplicity built ALDI. Directly relevant to Dino's model.
2. **"Sam Walton: Made in America"** by Sam Walton - SVN Capital explicitly compares Dino to early Walmart: founder-operator, small-town focus, relentless reinvestment.
3. **"The Great A&P and the Struggle for Small Business in America"** by Marc Levinson - How A&P pioneered chain grocery, with parallels to Dino's consolidation of Polish mom-and-pop stores.

Long-Form Articles & Research

1. **"Dino Polska Deep Dive" (3-part series) - Compounding Quality**. Most comprehensive free analysis. Part 1 | Part 2 | Part 3
2. **"Writeup: Dino Polska S.A." - SVN Capital** (Shree Viswanathan). Professional fund manager's investment case. SVN Capital
3. **"A Deep Dive into Dino Polska" - Mindful Compounding**. Introduces the "Lollapalooza moat" concept. Substack
4. **"Dino Polska: A Critical View" - Kroker Equity Research**. Essential bear-case reading. Substack
5. **In Practise - Dino Polska expert interview series**. Multiple expert calls with former executives from competitors. Paywalled but exceptionally high-signal. In Practise

Earnings Calls & Primary Sources

Dino does **not** hold audio earnings calls - only written reports and slides:
- **Quartr** (recommended): Company page - all slides and reports since 2017

- **Dino Polska IR:** Financial reports | Current reports
- **Seeking Alpha (DNOPY):** Multiple analyst articles. DNOPY page

Suggested Learning Path

Start with the Business Breakdowns podcast for a 60-minute overview, then read the Compounding Quality 3-part deep dive for financials and unit economics. Next, read the SVN Capital writeup to see how a professional fund manager underwrites the thesis, followed by the Kroker critical view to stress-test assumptions. For competitive context, read at least one In Practise expert interview. Then go to Quartr and read Dino's actual Q4 2025 slides and annual report - since there are no transcripts, the slides are the primary communication. Finally, pick up "Bare Essentials" or "Sam Walton: Made in America" to build the mental models that make Dino's strategy click.

Analysis generated using Quartr data, web research, and Dino Polska's own filings and slide presentations. All financial figures in PLN unless otherwise stated. This is not investment advice.